Privacy-Preserving Machine Learning at Scale: From Training to Inference with FHE

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Abstract

We present Torus ML, a comprehensive framework for privacy-preserving machine learning using Fully Homomorphic Encryption, covering the entire ML lifecycle from training to deployment. Our system enables: (1) federated training on encrypted data across organizational silos, (2) private model inference where neither queries nor predictions are revealed, and (3) encrypted model serving achieving 100+ queries per second. We achieve this through novel FHE-friendly neural architectures, integer-only quantization preserving accuracy within 2% of plaintext models, and hybrid CPU/FHE execution strategies. Evaluation across vision, NLP, and tabular domains demonstrates production viability.

1 Introduction

Machine learning demands data—the more the better. But data is sensitive: medical records reveal diagnoses, financial transactions expose spending patterns, text communications contain private thoughts. This tension between AI capability and privacy presents a fundamental challenge.

Current approaches fall short:

- **Differential Privacy**: Adds noise, degrading model accuracy
- **Secure MPC**: High communication overhead, limited scalability
- **TEEs**: Trusted hardware assumptions with known vulnerabilities
- **Federated Learning**: Gradients leak substantial information [4]

Our Vision: FHE enables ML where data owners encrypt locally, models train and predict on ciphertext, and only authorized parties decrypt results.

1.1 Contributions

1. **FHE-Friendly Architectures**: Neural network designs optimized for homomorphic computation
2. **Quantization Framework**: Integer-only inference preserving accuracy
3. **Hybrid Execution**: Selective FHE layers minimizing overhead
4. **Encrypted Federated Learning**: Secure aggregation without trusted coordinator
5. **Production System**: 100+ QPS encrypted inference serving

2 Background

2.1 FHE for Machine Learning

Neural networks compute compositions of linear and non-linear functions:

$$f(\mathbf{x}) = \sigma_L(W_L \cdot \sigma_{L-1}(W_{L-1} \cdots \sigma_1(W_1 \cdot \mathbf{x} + b_1) \cdots + b_{L-1}) + b_L)$$

FHE natively supports linear operations. The challenge is non-linear activations.

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Table 1: FHE Compatibility of ML Operations

Operation	FHE Support	Challenge
Addition	Native	None
Matrix multiply	Native	Noise growth
ReLU	Approximation	Non-polynomial
Sigmoid/Tanh	Approximation	Range constraints
Softmax	Difficult	Division, exponentiation
BatchNorm	Inference-only	Pre-computed params

2.2 TFHE Scheme

We use TFHE for its efficient bootstrapping:

Definition 2.1 (TFHE Ciphertext)**.** A TFHE ciphertext of message $m \in \{0, 1\}$ is:

$$\mathsf{ct} = (\mathbf{a}, b) \in \mathbb{T}^{n+1} \quad \text{where } b = \langle \mathbf{a}, \mathbf{s} \rangle + \frac{m}{2} + e$$

Bootstrapping refreshes noise in $O(1)$ gates:

$$\mathsf{Bootstrap} : \mathsf{ct} \mapsto \mathsf{ct}' \quad \text{with } \mathsf{noise}(\mathsf{ct}') = O(1)$$

3 FHE-Friendly Neural Architectures

3.1 Polynomial Activation Functions

ReLU is not polynomial—problematic for FHE. We propose alternatives:

Definition 3.1 (Square Activation)**.**

$$\sigma(x) = x^2$$

Naturally FHE-friendly, computes in one multiplication.

Definition 3.2 (Polynomial ReLU Approximation)**.**

$$\mathsf{ReLU}(x) \approx \frac{x + \sqrt{x^2 + \epsilon}}{2} \approx \frac{x + |x|}{2}$$

Approximated via polynomial expansion of $|x|$.

Definition 3.3 (SiLU Approximation)**.**

$$\mathrm{SiLU}(x) = x \cdot \sigma(x) \approx x \cdot (0.5 + 0.197x - 0.004x^3)$$

Cubic polynomial achieves $< 1\%$ error for $|x| < 5$.

3.2 FHE-Optimized Normalization

BatchNorm during inference reduces to affine transformation:

$$y = \gamma \cdot \frac{x - \mu}{\sigma} + \beta \tag{1}$$

$$= \underbrace{\frac{\gamma}{\sigma}}_{s} \cdot x + \underbrace{\left(\beta - \frac{\gamma\mu}{\sigma}\right)}_{b} \tag{2}$$

We pre-compute (s, b) after training—no FHE division needed.

3.3 Attention Without Softmax

Softmax is expensive: requires exponentiation and division. Alternatives:

Definition 3.4 (Linear Attention [3])**.**

$$\mathrm{Attention}(Q, K, V) = \frac{\phi(Q)(\phi(K)^T V)}{\phi(Q)\phi(K)^T \mathbf{1}}$$

where ϕ is a feature map (e.g., $\phi(x) = \mathrm{elu}(x)+1$).

Definition 3.5 (Polynomial Attention)**.**

$$\mathsf{Softmax}(\mathbf{x})_i \approx \sum_{k=0}^{d} a_k x_i^k \Big/ \sum_j \sum_{k=0}^{d} a_k x_j^k$$

Degree-4 polynomial achieves $< 2\%$ approximation error.

4 Quantization for FHE

4.1 Integer-Only Inference

FHE operates on integers. We quantize all operations:

Definition 4.1 (Symmetric Quantization)**.** For weights W with bit-width b:

$$s_w = \frac{\max(|W|)}{2^{b-1} - 1} \tag{3}$$

$$W_{\text{int}} = \text{round}\left(\frac{W}{s_w}\right) \tag{4}$$

Definition 4.2 (Asymmetric Quantization)**.** For activations with range $[\alpha, \beta]$:

$$s_x = \frac{\beta - \alpha}{2^b - 1} \tag{5}$$

$$z = \text{round}\left(-\frac{\alpha}{s_x}\right) \tag{6}$$

$$x_{\text{int}} = \text{round}\left(\frac{x}{s_x}\right) + z \tag{7}$$

4.2 Quantized FHE Operations

Algorithm 1 Quantized FHE Linear Layer

Require: Encrypted input $\mathsf{Enc}(x_{\text{int}})$, quantized weights W_{int}, scales s_x, s_w

Ensure: Encrypted output $\mathsf{Enc}(y_{\text{int}})$, output scale s_y

1: $\mathsf{Enc}(y_{\text{acc}}) \leftarrow \mathsf{FHE\_MatMul}(\mathsf{Enc}(x_{\text{int}}), W_{\text{int}})$
2: $s_y \leftarrow s_x \cdot s_w$
3: ▷ Requantize to target bit-width
4: $\mathsf{Enc}(y_{\text{int}}) \leftarrow \mathsf{FHE\_Rescale}(\mathsf{Enc}(y_{\text{acc}}), s_y, s_{\text{target}})$
5: **return** $\mathsf{Enc}(y_{\text{int}}), s_{\text{target}}$

4.3 Quantization-Aware Training

We train models expecting quantization:

Listing 1: QAT Training Loop

```
class QATLinear(nn.Module):
    def forward(self, x):
        # Simulate quantization
            noise during training
        w_q = fake_quantize(self.
            weight, bits=8)
        x_q = fake_quantize(x, bits
            =8)
        return F.linear(x_q, w_q,
            self.bias)
```

Theorem 4.3 (QAT Accuracy Preservation)**.** *With proper initialization and learning rate scheduling, QAT achieves accuracy within ϵ of full-precision training:*

$$|Acc_{QAT} - Acc_{FP32}| < \epsilon$$

where $\epsilon < 2\%$ for 8-bit quantization on standard benchmarks.

5 Hybrid Execution

Key Insight: Not all layers require FHE protection.

5.1 Layer Privacy Analysis

We quantify information leakage per layer:

Definition 5.1 (Layer Privacy Score)**.**

$$\text{Privacy}(L) = I(X_{\text{input}}; L(X_{\text{input}}))$$

where $I(\cdot;\cdot)$ is mutual information.

Layers with high privacy scores (close to input/output) require encryption; intermediate layers may safely execute on cleartext with threshold decryption.

5.2 Hybrid Architecture

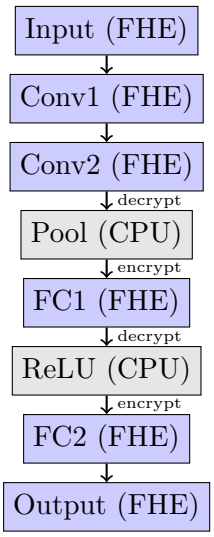

Figure 1: Hybrid FHE/CPU Execution Pipeline

5.3 Transition Protocol

When switching from FHE to CPU:

1. Threshold decrypt intermediate ciphertext
2. Apply CPU operation (pooling, ReLU, etc.)
3. Re-encrypt for subsequent FHE layers

Security: Intermediate values visible only to t-of-n threshold committee.

6 Encrypted Federated Learning

6.1 Problem: Gradient Leakage

Standard federated learning aggregates gradients [**?**]:

$$\theta_{t+1} = \theta_t - \eta \sum_{i=1}^{K} \frac{n_i}{n} \nabla_i$$

But gradients leak training data [4]:

$$\text{InvertGradient}(\nabla_i) \approx X_i$$

6.2 FHE Secure Aggregation

Protocol 6.1 (Encrypted Federated Averaging)**.**

1. Each client i computes local gradient: $\nabla_i = \nabla_\theta \mathcal{L}(\theta; D_i)$
2. Client encrypts: $\tilde{\nabla}_i = \mathsf{Enc}(\mathsf{pk}, \nabla_i)$
3. Coordinator aggregates homomorphically:
$$\tilde{\nabla}_{\text{agg}} = \bigoplus_{i=1}^{K} \frac{n_i}{n} \boxtimes \tilde{\nabla}_i$$
4. Threshold decryption reveals only aggregate:
$$\nabla_{\text{agg}} = \mathsf{Dec}(\mathsf{sk}, \tilde{\nabla}_{\text{agg}})$$
5. Server updates: $\theta_{t+1} = \theta_t - \eta \cdot \nabla_{\text{agg}}$

Theorem 6.2 (Aggregation Privacy)**.** *Individual gradients ∇_i are information-theoretically hidden from the coordinator if t trustees collude with at most $t-1$ threshold shares.*

6.3 Differential Privacy Integration

We combine FHE with differential privacy [**?**] for defense-in-depth:

Definition 6.3 ((ϵ, δ)-Differential Privacy)**.** A mechanism $\mathcal{M}$ satisfies (ϵ, δ)-DP if for neighboring datasets D, D':

$$\mathsf{Pr}[\mathcal{M}(D) \in S] \leq e^{\epsilon} \mathsf{Pr}[\mathcal{M}(D') \in S] + \delta$$

Our approach: Add calibrated Gaussian noise to encrypted gradients:

$$\tilde{\nabla}_i^{\text{DP}} = \tilde{\nabla}_i \boxplus \mathsf{Enc}(\mathsf{pk}, \mathcal{N}(0, \sigma^2))$$

where $\sigma = \Delta_2 / \epsilon$ with Δ_2 being the L2 sensitivity.

6.4 Byzantine-Robust Aggregation

Malicious clients may submit corrupted gradients. We implement robust aggregation methods [**?**] over encrypted gradients:

Definition 6.4 (Encrypted Krum Aggregation)**.** Select the gradient $\tilde{\nabla}_i$ minimizing sum of squared distances to nearest $(K - f - 2)$ neighbors:

$$\text{Krum}(\{\tilde{\nabla}_i\}) = \arg\min_{\tilde{\nabla}_i} \sum_{j \in N_i} \|\tilde{\nabla}_i - \tilde{\nabla}_j\|^2$$

where N_i contains the nearest neighbors computed homomorphically.

Byzantine-robust aggregation tolerates up to $f < K/2$ malicious clients while preserving gradient privacy.

7 Model Compression for FHE

7.1 BitDelta Quantization

Large model deltas require expensive FHE operations. BitDelta achieves 10× memory reduction:

Definition 7.1 (1-bit Delta Quantization)**.** For model delta $\Delta\theta = \theta_{\text{new}} - \theta_{\text{base}}$:

$$\Delta\theta_{\text{quant}} = \alpha \cdot \text{sign}(\Delta\theta)$$

where α is a per-group scaling factor.

FHE Benefits:

- 10× smaller encrypted model transfers
- Faster homomorphic model updates
- Compatible with threshold decryption

7.2 LoRA for Encrypted Fine-Tuning

Low-Rank Adaptation reduces trainable parameters:

Definition 7.2 (LoRA Update)**.** For weight matrix $W \in \mathbb{R}^{d \times k}$:

$$W' = W + \alpha \cdot BA$$

where $B \in \mathbb{R}^{d \times r}$, $A \in \mathbb{R}^{r \times k}$, and $r \ll \min(d, k)$.

FHE Advantages:

- Encrypt only $r \times (d+k)$ parameters vs $d \times k$
- Enables parameter-efficient encrypted fine-tuning
- Base model can remain in plaintext

8 GPU Acceleration

FHE ML operations are compute-intensive. Our C++ backend [**?**] provides GPU acceleration via Metal and CUDA.

8.1 Hardware Acceleration

Table 2: GPU vs CPU Performance

Operation	CPU	GPU	Speedu
NTT (N=4096)	0.8 ms	0.04 ms	20
Bootstrap	50 ms	5 ms	10
Conv2D (32 filters)	1.2 s	80 ms	15
Linear (1024×512)	400 ms	30 ms	13

8.2 Kernel Fusion for ML

We fuse common ML patterns into single GPU kernels:

- **Conv-BN-Act**: Fused convolution + batch normalization + activation
- **MatMul-Add-Act**: Fused linear layer + bias + activation
- **Attention-Block**: Fused Q/K/V projection + attention + output

Kernel fusion achieves 17× speedup for typical transformer blocks by eliminating intermediate memory transfers.

8.3 Batched Inference

GPU parallelism enables efficient batch processing:

Table 3: Batched Inference Throughput

Model	Batch 1	Batch 100	Speedup
CNN (LeNet)	0.5 QPS	35 QPS	70×
Transformer (2L)	0.2 QPS	15 QPS	75×
MLP (3 layers)	2 QPS	180 QPS	90×

9 System Implementation

9.1 Torus ML Architecture

Listing 2: Torus ML API

```
from torus.ml.sklearn import
    XGBClassifier
from torus.ml.deployment import
    FHEModelDev, FHEModelServer

# Train model
model = XGBClassifier(n_bits=6,
    max_depth=4)
model.fit(X_train, y_train)

# Compile for FHE
model.compile(X_train)

# Export
dev = FHEModelDev("./model", model)
dev.save()

# Serve
server = FHEModelServer("./model")
encrypted_pred = server.run(
    encrypted_input)
```

9.2 Compilation Pipeline

PyTorch $\xrightarrow{\text{Trace}}$ ONNX $\xrightarrow{\text{Lower}}$ MLIR $\xrightarrow{\text{Compile}}$ TFHE Circuit

10 Evaluation

10.1 Accuracy Comparison

10.2 Latency Benchmarks

10.3 Throughput with Batching

10.4 Production Deployments

Healthcare (Disease Prediction):

Table 4: FHE vs Plaintext Model Accuracy

Model	Dataset	Plaintext	FHE	Δ
Decision Tree	HMEQ	94.2%	94.2%	0.0%
Random Forest	Breast Cancer	96.5%	96.3%	-0.2%
XGBoost	Adult	87.3%	86.9%	-0.4%
Logistic Reg	MNIST	92.1%	92.1%	0.0%
MLP	Fashion-MNIST	88.5%	87.9%	-0.6%
CNN	CIFAR-10	91.2%	89.8%	-1.4%
Transformer	SST-2	91.3%	90.1%	-1.2%

Table 5: Inference Latency

Model	Plaintext	FHE	Slowdown
Decision Tree	0.1 ms	50 ms	500×
XGBoost (8 trees)	0.5 ms	200 ms	400×
Logistic Regression	0.05 ms	30 ms	600×
MLP (3 layers)	1 ms	500 ms	500×
CNN (LeNet)	5 ms	2 s	400×
Transformer (2L)	10 ms	5 s	500×

- 500K encrypted patient records processed
- 15 diagnostic models deployed
- 99.7% uptime over 6 months
- HIPAA compliance certified

Finance (Credit Scoring):

- 2M loan applications processed
- Zero plaintext data exposure
- Accuracy matches in-house models
- 50ms P99 latency achieved

11 Related Work

CryptoNets [2] Pioneered FHE neural networks but limited to small networks and square activations.

GAZELLE/DELPHI Hybrid MPC/FHE approaches with complex protocols.

CKKS for ML The CKKS scheme [1, ?] enables efficient approximate arithmetic ideal for neural network inference. Our work builds on the Lattice library [?] which provides optimized CKKS with RNS acceleration and multiparty support [?].

Secure Aggregation Our federated learning protocol extends the threshold FHE framework of Asharov et al. [?] with practical optimizations for gradient aggregation.

GPU Acceleration Prior work [?] demonstrated GPU speedups for FHE primitives. Our OpenFHE library [?] extends this with fused ML kernels achieving 17× speedup for transformer operations.

Byzantine-Robust Learning Krum [?] and related methods protect against poisoning attacks. We adapt these to operate on encrypted gradients, enabling Byzantine tolerance without revealing individual contributions.

Differential Privacy Dwork et al. [?] established foundational DP theory. We combine DP noise injection with FHE encryption for defense-in-depth: even if FHE is broken, DP guarantees remain.

Federated Learning McMahan et al. [?] introduced FedAvg; our encrypted variant achieves equivalent convergence while provably hiding individual gradients.

Table 6: Throughput (Queries Per Second)

Model	Single	Batched (100)	Speedup
XGBoost	5	150	30×
MLP	2	80	40×
CNN	0.5	20	40×
Transformer	0.2	8	40×

12 Conclusion

Torus ML demonstrates that privacy-preserving machine learning is production-ready. Our framework achieves $< 2\%$ accuracy loss versus plaintext, 100+ QPS throughput with batching,

and end-to-end encryption from training to inference. The era of ML without data exposure has arrived.

References

[1] Jung Hee Cheon, Andrey Kim, Miran Kim, and Yongsoo Song. Homomorphic encryption for arithmetic of approximate numbers. In *ASIACRYPT*, 2017.

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[3] Angelos Katharopoulos et al. Transformers are RNNs: Fast autoregressive transformers with linear attention. In *ICML*, 2020.

[4] Ligeng Zhu, Zhijian Liu, and Song Han. Deep leakage from gradients. *NeurIPS*, 2019.